

RESOLUTION NO. _____

ENTITLED: "A RESOLUTION APPROVING A SPONSORSHIP BY BISON BEVERAGE FOR THE CHEYENNE FRONTIER DAYS RODEO EVENTS OCCURRING JULY 19 THROUGH JULY 28, 2024, AND JULY 18 THROUGH JULY 27, 2025."

WHEREAS, Cheyenne Frontier Days ("CFD") relies heavily on sponsorships to assist in producing the yearly Cheyenne Frontier Days rodeo events and has established various levels of sponsor relationships based on value including Platinum Arrowhead, Titanium, Bronze Arrowhead, Gold Boot, Bronze, Chute 9 sponsor, and Silver Boot sponsor;

WHEREAS, Bison Beverage is a local malt beverage industry representative for Molson Coors Beverage Company brands Miller and Coors and is interested in establishing a two-year sponsor relationship with CFD;

WHEREAS, the activities of alcohol industry representatives are strictly regulated under Title 12 of Wyoming Statute;

WHEREAS, Wyoming Statute § 12-5-402(a) provides that "industry representatives shall not furnish, give or lend money or other things of value, directly or indirectly, to any person engaged in selling products of the industry at retail under privileges of a license or permit to sell any beverage or liquor in Wyoming." The statute further states that this "prohibition shall extend to the giving to any person for the use, benefit or relief of the person engaged in selling the industry's products and to prohibit guaranty by the industry of a loan or other financial obligation of persons engaged at retail in selling these products.";

WHEREAS, Wyoming Statute § 12-5-402(a) outlines an exception to the prohibition imposed upon industry representatives by further providing that "with prior approval of the applicable licensing authority, malt beverage industry representatives may furnish, give or lend money or other things of value to a licensee to support annual community events open to the public if the licensee: (i) Is a nonprofit corporation organized under the laws of this state; (ii) Is qualified as a tax exempt organization under the Internal Revenue Code; and (iii) Has been in continuous operation for a period of not less than two (2) years.";

WHEREAS, Cheyenne Frontier Days holds a retail liquor license, which license was granted by the City of Cheyenne as the local licensing authority in accordance with Wyoming Statute § 12-4-201;

WHEREAS, in accordance with state law, CFD and Bison Beverage are seeking prior approval from the City of Cheyenne to partner for a sponsor relationship which will allow Bison Beverage to furnish, give or lend money or other things of value to CFD to support the annual community event of Cheyenne Frontier Days rodeo, occurring on July 19 through July 28, 2024, and July 18 through July 27, 2025; and

WHEREAS, the statutory requirements articulated under Wyoming Statute § 12-5-402(a) are met in this instance as CFD is a liquor licensee, is a nonprofit corporation organized under the laws of the State of Wyoming, is qualified as a tax exempt organization under the Internal Revenue Code, and has been in continuous operation for a period of not less than two (2) years.

NOW, THEREFORE, BE IT RESOLVED BY THE GOVERNING BODY OF THE CITY OF CHEYENNE, WYOMING, that the Governing Body approves the sponsor relationship between CFD and Bison Beverage for the Cheyenne Frontier Days rodeo event, scheduled to occur on July 19 through July 28, 2024, and July 18 through July 27, 2025.

PRESENTED, READ AND ADOPTED this _____ day of _____, 2024.

Patrick Collins, Mayor

(SEAL)

ATTEST:

Kristina F. Jones, City Clerk



CHEYENNE FRONTIER DAYS™

World's Largest Outdoor Rodeo & Western Celebration

P.O. Box 2477 Cheyenne, WY 82003 • (307) 778-7220 • www.cfdrodeo.com

January 23, 2024

Mayor Patrick Collins
City Council Members
City of Cheyenne
2101 O'Neil Avenue
Cheyenne WY 82001

Dear Mayor Collins and City Council Members:

My apologies, this letter is to replace the previous letter dated January 16, 2024, as there is a correction to the sponsorship level for Bison Beverage.

As you know Cheyenne Frontier Days relies heavily on sponsors/partners to help produce the "Daddy of 'em All." One of which is Bison Beverage who has sponsored our show over thirty years.

Prior to 2009, nonprofit corporations who pulled malt beverage permits for their annual events were prohibited from receiving sponsorship in the form of money, product or other items of value. In 2009, Wyoming State Statute §12-5-402 was amended to allow a licensing authority (i.e. City Council) to approve malt beverage industry representatives to furnish, give or lend money or other things of value to a malt beverage licensee to support annual community events if certain requirements were met. That portion of the statute now reads:

"With prior approval of the applicable licensing authority, malt beverage industry representatives may furnish, give or lend money or other things of value to a licensee to support annual community events open to the public if the licensee:

- (i) Is a nonprofit corporation organized under the laws of this state:
- (ii) Is qualified as a tax exempt organization under the Internal Revenue Code: and
- (iii) Has been in continuous operation for a period of not less than two (2) years."

Therefore, pursuant to the above statute, Cheyenne Frontier Days is requesting the approval of the Cheyenne City Council for a two (2) year Bronze Arrowhead Sponsor relationship between Cheyenne Frontier Days and Bison Beverage for 2024 & 2025. The request for approval is specific only to the annual community event known as Cheyenne Frontier Days, which is open to the public, and would apply to the following specific time frames, involving application to the Cheyenne City Clerk for malt beverages:

July 19 – 28, 2024

July 18 – 27, 2025

For your reference the following documents are included:

- Internal Revenue Service 501c (6) status letter
- Wyoming Statute § 12-5-402

Thank you for your time and consideration on this matter and again my apologies for the correction.

A handwritten signature in black ink, appearing to read "Tom Hirsig". The signature is stylized with a large, sweeping "T" and a long, horizontal stroke at the end.

Tom Hirsig

Chief Executive Officer

Cheyenne Frontier Days, Inc.

Enc.

CC: City Clerk, Kris Jones

(iv) No walls or screens shall interfere with observing and checking the part of the area used for orders, delivery and payment;

(v) No order shall be received from nor delivery made to a person under twenty-one (21) years of age or an intoxicated person in the area;

(vi) No part of a publicly owned sidewalk, highway, street or alley shall be used for taking orders or conducting sales; and

(vii) Alcoholic liquor or malt beverages shall be sold and delivered in the drive-in area only in the original, unopened package and consumption of alcoholic liquor or malt beverages in the drive-in area shall not be permitted.

12-5-302. Determination to forbid or restrict.

The agents and officers of the licensing authority administering the retail liquor license shall determine whether traffic conditions or physical circumstances hindering law enforcement should require a decision forbidding or restricting sales and delivery in any drive-in area. If by resolution of the licensing authority the right of a licensee to use certain drive-in areas is forbidden or restricted that resolution shall be complied with by the licensee.

ARTICLE 4 - INDUSTRY REPRESENTATIVES

12-5-401. Interests in licenses or permits to sell.

No industry representative shall hold any interest, stock or ownership directly or indirectly, in any license to sell products of the industry at retail under privileges of a license or permit to sell any beverage or liquor in Wyoming or in any premises so licensed. This section shall not apply to any person holding a microbrewery or winery permit pursuant to W.S. 12-4-412. This section shall also not apply to a person holding a manufacturer's license under W.S. 12-2-203(a) to the extent he may be permitted one (1) satellite manufacturer's permit pursuant to W.S. 12-2-203(g).

12-5-402. Furnishing of money and products; payment in full for malt beverages; credit for alcoholic liquor; credit deficiencies.

(a) Except as otherwise authorized in this section or W.S. 12-5-403, industry representatives shall not furnish, give or lend money or other things of value, directly or indirectly, to any person engaged in selling products of the industry at retail under privileges of a license or permit to sell any beverage or liquor in Wyoming. The prohibition shall extend to the giving to any person for the use, benefit or relief of the person engaged in selling the industry's products and to prohibit guaranty by the industry of a loan or other financial obligation of persons engaged at retail in selling these products. With prior approval of the applicable licensing authority, malt beverage industry representatives may furnish, give or lend money or other things of value to a licensee to support annual community events open to the public if the licensee:

(i) Is a nonprofit corporation organized under the laws of this state;

(ii) Is qualified as a tax exempt organization under the Internal Revenue Code; and

(iii) Has been in continuous operation for a period of not less than two (2) years.

(b) No sale or delivery of malt beverages shall be made by a wholesaler to any licensee except for payment in full made at the time of or prior to delivery, and a licensee shall not accept or receive delivery of malt beverages except when payment is made at or prior to delivery.

(c) The division may grant credit to retailers when purchasing alcoholic liquor for a period not to exceed four (4) days from date of shipment. Payments by mail for credit shipments shall be postmarked within twenty-four (24) hours of the receipt of the shipment by the retailer. The division may seize and sell all stocks of liquor of the retailer to satisfy any credit balance. Any deficiency constitutes a lien on any proceeds received through transfer of the license or permit. If a retailer defaults in payment for a shipment under this section, no further shipments shall be made to him for a period of one (1) year except on a C.O.D. basis.

12-5-403. Furnishing of equipment; advertising materials; records to be kept.

DISTRICT DIRECTOR
1100 COMMERCE STREET
DALLAS, TX 75242-0000

Date: DEC 02 1991

CHEYENNE FRONTIER DAYS INC
P O BOX 2477
CHEYENNE, WY 82003

Employer Identification Number:
83-0297781

Contact Person:
SHARI FLOWERS

Contact Telephone Number:
(214) 767-3526

Internal Revenue Code
Section 501(c)(6)

Accounting Period Ending:
September 30

Form 990 Required:
Yes

Addendum Applies:
No

Dear Applicant:

Based on information supplied, and assuming your operations will be as stated in your application for recognition of exemption, we have determined you are exempt from Federal income tax under section 501(a) of the Internal Revenue Code as an organization described in the section indicated above.

Unless specifically excepted, you are liable for taxes under the Federal Insurance Contributions Act (social security taxes) for each employee to whom you pay \$100 or more during a calendar year. And, unless excepted, you are also liable for tax under the Federal Unemployment Tax Act for each employee to whom you pay \$50 or more during a calendar quarter if, during the current or preceding calendar year, you had one or more employees at any time in each of 20 calendar weeks or you paid wages of \$1,500 or more in any calendar quarter. If you have any questions about excise, employment, or other Federal taxes, please address them to this office.

If your sources of support, or your purposes, character, or method of operation change, please let us know so we can consider the effect of the change on your exempt status. In the case of an amendment to your organizational document or bylaws, please send us a copy of the amended document or bylaws. Also, you should inform us of all changes in your name or address.

In the heading of this letter we have indicated whether you must file Form 990, Return of Organization Exempt From Income Tax. If Yes is indicated, you are required to file Form 990 only if your gross receipts each year are normally more than \$25,000. However, if you receive a Form 990 package in the mail, please file the return even if you do not exceed the gross receipts test. If you are not required to file, simply attach the label provided, check the box in the heading to indicate that your annual gross receipts are normally \$25,000 or less, and sign the return.

If a return is required, it must be filed by the 15th day of the fifth month after the end of your annual accounting period. A penalty of \$10 a day is charged when a return is filed late, unless there is reasonable cause for

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CHEYENNE FRONTIER DAYS INC

the delay. However, the maximum penalty charged cannot exceed \$5,000 or 5 percent of your gross receipts for the year, whichever is less. This penalty may also be charged if a return is not complete, so please be sure your return is complete before you file it.

You are not required to file Federal income tax returns unless you are subject to the tax on unrelated business income under section 511 of the Code. If you are subject to this tax, you must file an income tax return on Form 990-T, Exempt Organization Business Income Tax Return. In this letter we are not determining whether any of your present or proposed activities are unrelated trade or business as defined in section 513 of the Code.

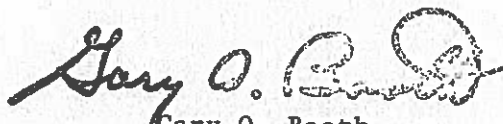
You need an employer identification number even if you have no employees. If an employer identification number was not entered on your application, a number will be assigned to you and you will be advised of it. Please use that number on all returns you file and in all correspondence with the Internal Revenue Service.

If we have indicated in the heading of this letter that an addendum applies, the enclosed addendum is an integral part of this letter.

Because this letter could help resolve any questions about your exempt status, you should keep it in your permanent records.

If you have any questions, please contact the person whose name and telephone number are shown in the heading of this letter.

Sincerely yours,


Gary O. Booth
District Director